

Palantir Technologies Inc.
 PLTR NYSE

Hold	\$122.89 ▼ 1.35%	12M Price Target \$140.00	52-Week Range \$106.37 – \$207.52	Market Cap \$294.42B
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PLTR: Cooling Off After Run, But Policy Tailwinds Intact

WHAT HAPPENED

- PLTR is down ~9% in three sessions from \$134.85 to \$122.89 — this looks like classic profit-taking after a big run, not a fundamental crack. The tell: today's volume is only 8M vs. 38M yesterday, meaning sellers exhausted themselves and buyers aren't panicking. Tech sector was down 0.5% today while Energy/Industrials rallied — money is rotating OUT of high-multiple growth into cyclicals that benefit from a stronger economy.
- Director Alex Moore dumped ~\$2.1M in shares near the \$134 top on July 15 — insiders selling into strength isn't a red flag by itself, but it's a hint that people who know the company thought \$135 was rich.

WHY IT MATTERS

Here's the thing to internalize: PLTR trading at 16% of its 52-week range (\$106-\$207) tells you the market got WAY ahead of itself earlier this year and is now digesting. But the options flow is screaming bullish — put/call ratio of 0.65 with unusual call buying at \$90 strikes for July/August expiration means smart money is betting on a bounce, not a crash. That \$123 put buying (4,256 contracts) is likely dealer hedging or short-term protection, not a directional bearish bet. Bigger picture: with the Trump administration's continued push on federal AI adoption and the FY2026 defense budget authorizing expanded AI/data analytics spending, PLTR's government revenue runway is still expanding — the stock's problem isn't demand, it's that it got priced like AI perfection was already delivered.

POLICY & POLITICAL WATCH

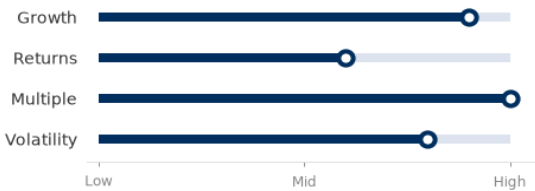
The key catalyst to watch is the ongoing implementation of the AI Executive Order framework and the FY2027 defense appropriations debate heating up this fall — Palantir is the prime beneficiary of any expanded DoD/IC (intelligence community) AI budget line, and preliminary markups suggest the AI/software modernization budget could grow 20%+ year-over-year. On the flip side, watch for any Congressional pushback on sole-source government contracts — there's been bipartisan grumbling about Palantir's dominant position in federal data analytics, and if a competitive procurement mandate gets attached to defense reauthorization, that's a real headwind. Trade policy is a minor tailwind here: PLTR is a services/software business with minimal China exposure, so tariff escalation actually helps them relative to hardware-heavy tech peers.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$122.89
12M Price Target	\$140.00
Upside / (Downside)	+13.9%
Market Cap	\$294.42B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,350M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	198.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$140.00	\$125.00	\$108.00
6 Months	\$165.00	\$135.00	\$95.00
1 Year	\$195.00	\$140.00	\$85.00
2 Years	\$240.00	\$160.00	\$70.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$320.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5.8% over 5 days) and Industrials are catching a bid — this is a "reflation" trade where money bets on economic growth and infrastructure spending. Defense industrials specifically benefiting from budget clarity.

COOLING OFF: Tech is flattish to down — after a massive H1 run, high-multiple names like PLTR are seeing profit-taking as investors lock in gains before earnings season.

ROTATION WATCH: Money is quietly rotating from expensive AI/software into "picks and shovels" plays — energy (powering AI data centers) and industrials (building them). That's why Micron and SanDisk are surging — the memory/storage layer of AI is now the trade.

RELATED PLAY: If you like the AI infrastructure thesis but want a cheaper entry, look at defense primes like Lockheed (LMT) or Booz Allen (BAH) — they benefit from the same federal AI spending wave but trade at a fraction of PLTR's multiple.

WHO'S WINNING IN THIS SPACE?

- NOW (ServiceNow): Post-earnings surge on strong backlog — proves enterprise AI demand is real and monetizing, which is a positive read-through for PLTR's commercial segment.
- MU (Micron) / SNDK (SanDisk): AI memory demand driving the rally — confirms the AI capex cycle is still accelerating, which supports PLTR's demand story.

PLTR CONTEXT: PLTR is LAGGING its AI-adjacent peers this week, which tells you the pullback is valuation-driven, not demand-driven. That's actually a healthier setup — the underlying business story is intact, the stock just got too hot. Watch for it to re-couple with sector strength once earnings hits.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$108-115 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Two consecutive quarters of decelerating commercial growth, or major government contract loss

Hedging: Trim into strength above \$180; pair with a lower-multiple defense name like LMT